

August 4, 2026 11:57 PM GMT

Applied Materials Inc. | North America

# 3 Questions into the Print

WHAT'S CHANGED

|                                 |          |          |
|---------------------------------|----------|----------|
| Applied Materials Inc. (AMAT.O) | From     | To       |
| Price Target                    | \$647.00 | \$646.00 |

AMAT is positioned to grow systems 40%+ in CY26 driven by unprecedented DRAM strength. Our downgrade to EW would have been premature, and our thesis incorrect, if DRAM WFE is \$75bn+ in 27 and \$100bn+ in 28.

Key Takeaways

- We expect AMAT to guide OctQ revenue to \$10.5bn+ vs. MSe \$10.5bn/Street \$9.5bn.
- We see upside to AMAT's CY26 semi systems guide of 30%+.

**3 questions into the print.** We see 3 debates into the print: 1) can AMAT follow LAM & TEL's SepQ guides, 2) can AMAT talk-up long-term GM%, and 3) what will we learn about 2027 DRAM WFE? **On the OctQ guide**, while LAM & TEL are both guiding system shipments to grow 30%+, we don't think 30%+ q/q shipment growth should be the bar and would characterize that as a bull-case. AMAT has outpaced LAM since the JanQ and our forecast of 20% growth in OctQ and 9% in JanQ puts AMAT at 44% system shipment growth for 2026, and a very strong year. **On Gross Margin**, we see no structural reason why AMAT could not align more closely with LAM and articulate a path toward gross margin expansion into the mid-50% range by the end of the decade. However, we are holding off on modeling an immediate step-up. The key risk to our view is that we may be underestimating the margin benefit from LAM shifting the majority of its manufacturing to Malaysia. *Tokyo Electron (TEL) covered by Suzune Tamura.*

**Where does that leave us on AMAT?** We're still doing work on DRAM WFE, but acknowledge that if DRAM WFE reaches \$75bn+ in 2027, the market absorbs 40% bit supply growth without disruption, and there is clear visibility into another strong year of DRAM WFE spending in 2028 (\$100bn+), AMAT would be exceptionally well positioned. Under that scenario, our downgrade would have been premature and our thesis incorrect.

**Raise estimates, adjust PT.** We revise up our CY26 forecast from \$36.9bn/\$13.93 to \$38.7bn/\$14.60 and our CY27 forecast from \$46.2bn/\$18.41to \$50.5bn/\$20.26. We now model system shipment growth of 44%/35% compared to 37%/28% previously. Consistent with our revisions for SPE stocks this earnings period, we lower our CY28 target multiple from 30x to 27x, 1-turn below LAM (vs 4-turns previously), which brings down our PT from \$647 to \$646.

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Applied Materials Inc. (AMAT.O, AMAT US)

Semiconductor Capital Equipment | United States of America

|                                |                 |
|--------------------------------|-----------------|
| Stock Rating                   | Equal-weight    |
| Industry View                  | In-Line         |
| Price target                   | \$646.00        |
| Shr price, close (Aug 4, 2026) | \$546.62        |
| Mkt cap, curr (mm)             | \$439,500       |
| 52-Week Range                  | \$739.67-154.47 |

| Fiscal Year Ending | 10/25 | 10/26e | 10/27e | 10/28e |
|--------------------|-------|--------|--------|--------|
| EPS (\$)**         | 9.42  | 12.66  | 19.08  | 23.26  |
| Prior EPS (\$)**   | -     | 12.36  | 17.41  | 20.97  |
| P/E                | 24.8  | 43.1   | 28.7   | 23.5   |
| EPS (\$)§          | 9.32  | 12.28  | 16.81  | 20.30  |
| Div yld (%)        | 0.7   | 0.4    | 0.4    | 0.5    |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

| Quarter | 2025 | 2026e Prior | 2026e Current | 2027e Prior | 2027e Current |
|---------|------|-------------|---------------|-------------|---------------|
| Q1      | 2.38 | -           | 2.38a         | 3.97        | 4.32          |
| Q2      | 2.39 | -           | 2.86a         | 4.23        | 4.65          |
| Q3      | 2.48 | 3.37        | 3.37          | 4.49        | 4.94          |
| Q4      | 2.17 | 3.76        | 4.06          | 4.71        | 5.17          |

e = Morgan Stanley Research estimates, a = Actual Company reported data

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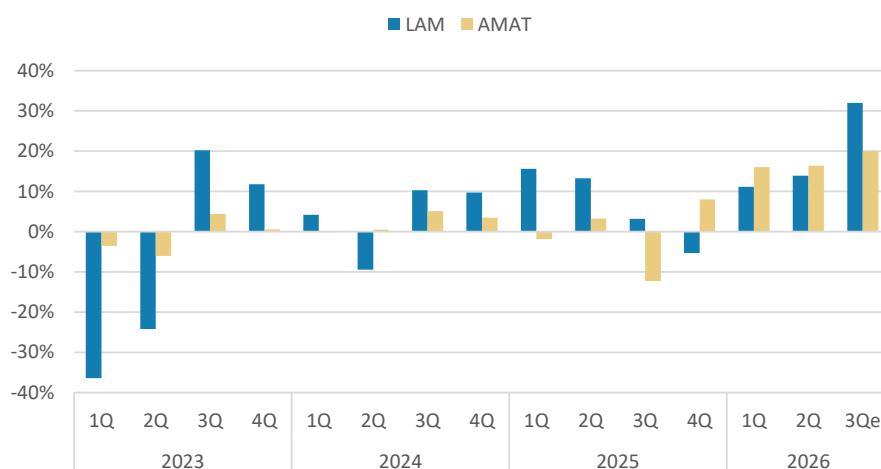
## 3 Questions

### Question #1: Can AMAT follow LAM & TEL's SepQ guides?

**Context:** Etch/Dep companies have guided for meaningful shipment acceleration into the SepQ as LAM guided SepQ revenue to grow 21% q/q (MSe shipment 32%) and TEL is guiding SepQ system shipments to grow 33%.

**MS View:** We don't think 30%+ q/q shipment growth for AMAT in the OctQ should be the bar, and would characterize that as a "bull-case" for 2 reasons: 1) AMAT has outpaced LAM: AMAT's q/q growth has been higher than LAM's since the JanQ, and while LAM is looking at 32% this Q, given the outgrowth over the last 3 quarters, we don't think 32% should be the bar. 2) 20%+ implies a REALLY strong CY26: we now model OctQ shipments to grow 20% q/q and JanQ to grow 9%. This puts AMAT at 44% system shipment growth for 2026 and higher than prior high of 43% in 2021.

**Exhibit 1:** Given AMAT has outpaced LAM over the last 3 quarters, we don't think 30%+ q/q growth should be the base case for OctQ



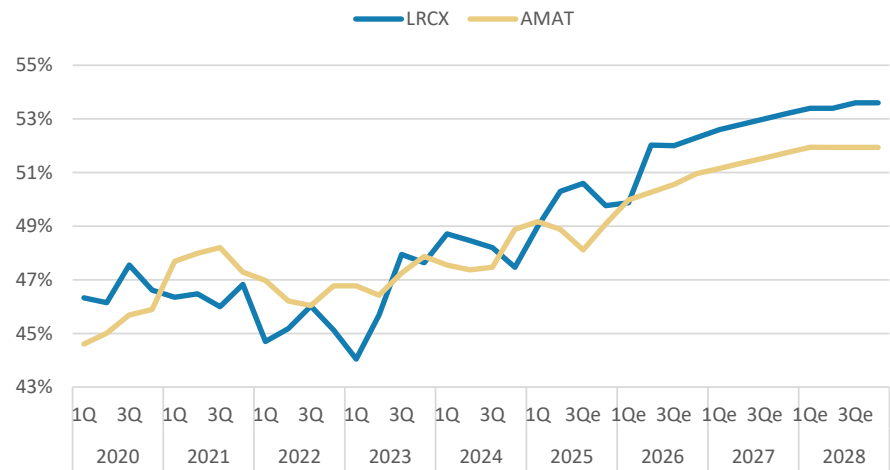
Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

### Question #2: Can AMAT talk up long-term GM%?

**Context:** LAM spoke about intending to drive GM% to the mid-50% level over the course of a few years on the back of price hikes via new product introduction and shipping production to Malaysia.

**MS View:** We see no structural reason why AMAT could not align more closely with LAM and articulate a path toward gross margin expansion into the mid-50% range by the end of the decade. However, we are holding off on modeling an immediate step-up. The key risk to our view is that we may be underestimating the margin benefit from LAM shifting the majority of its manufacturing to Malaysia.

**Exhibit 2:** We don't see a reason why AMAT wouldn't be able to head towards mid-50% GM by the end of the decade but we've held off on reflecting that into numbers.



Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

### Question #3: What will we learn about 2027 DRAM WFE?

**Context:** Contrary to our thesis for NAND WFE to outgrow DRAM WFE in 2027, LAM and TEL have both spoken about DRAM being the fastest growing end-market in 2027 after significant outgrowth in 2026. AMAT has spoken about DRAM WFE to be well north of 2x NAND WFE in the near-term, but DRAM WFE outgrowing overall WFE would imply a minimum of 3x (implied DRAM WFE \$70-75bn+ vs 2027 NAND WFE MSe \$24bn).

**MS View:** We're still doing work on DRAM WFE, but acknowledge that if DRAM WFE reaches \$75bn+ in 2027, the market absorbs 40% bit supply growth without disruption, and there is clear visibility into another strong year of DRAM WFE spending in 2028 (\$100bn+), AMAT would be exceptionally well positioned. Under that scenario, our downgrade would have been premature and our thesis incorrect.

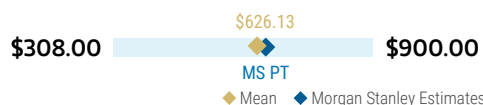
## Risk Reward – Applied Materials Inc. (AMAT.O)

DRAM/Leading Logic upside & China/ICAPS derisked

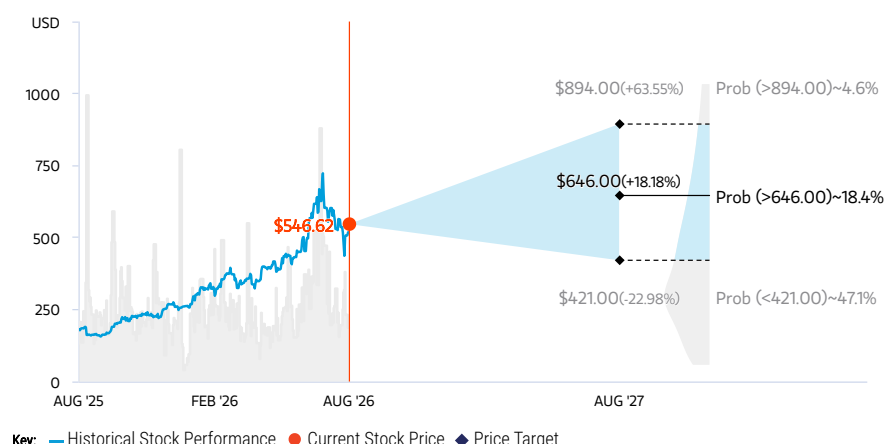
### PRICE TARGET **\$646.00**

~27x CY28e EPS of \$23.94, a 1-turn discount to LAM to reflect growth prospects in DRAM but concerns around market share loss in foundry logic.

#### Consensus Price Target Distribution



### RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



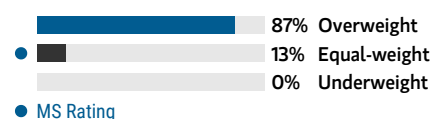
Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 4 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

### EQUAL-WEIGHT THESIS

■ AMAT has traded at a material valuation discount vs LAM & KLA given execution and concerns around market share loss in China. We think AMAT will be a share gainer in 2026 but given our growth forecast is in-line with broader WFE in 2027 we think the valuation discount is unlikely to narrow in the near term.

■ AMAT has the highest DRAM mix in their portfolio (CY26 31% vs LAM 24%, KLA 30%) and is most levered to greenfield wafer additions. We see DRAM as the fastest growing end-market in 2026 but the slowest growing in 2027.

#### Consensus Rating Distribution



#### Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

#### BULL CASE

**\$894.00**

~33x CY28 EPS of \$27.09

DRAM & ICAPS remain strong and AMAT's margin expansion accelerates.

- Revenue grows 24.6% in CY28 as AMAT outperforms WFE
- Gross margin expands to 52.4% in CY28
- Multiples expand to 33x PE, as equipment is perceived as a growth sector within semis

#### BASE CASE

**\$646.00**

~27x CY27 EPS of \$23.94

AMAT grows in-line with WFE with DRAM growth slightly offset by China/ICAPS

- Revenue growth of 13.3% in CY28
- Non-GAAP gross margin slightly increases to 51.9% in CY28
- Multiple at a premium to AMAT's historical average

#### BEAR CASE

**\$421.00**

~20x CY28 EPS of \$21.07

DRAM WFE slows in 2027 and leading edge logic sees headwinds from foundries scaling back their aspirations.

- Revenue increases 4.2% in CY28 as WFE recovery is subdued.
- Gross margin of 51.2% in CY28
- Multiple contracts to a 20x PE, 1 standard deviation premium to historical levels

## Risk Reward – Applied Materials Inc. (AMAT.O)

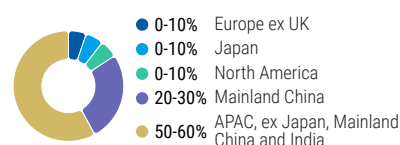
### KEY EARNINGS INPUTS

| Drivers               | Oct 2025 | Oct 2026e | Oct 2027e | Oct 2028e |
|-----------------------|----------|-----------|-----------|-----------|
| GAAP Revenue (\$, mm) | 28,368   | 34,407    | 48,246    | 56,053    |
| MW Gross Margin (%)   | 48.8     | 50.0      | 51.3      | 51.9      |
| Non-GAAP EPS (\$)     | 9.42     | 12.68     | 19.08     | 23.26     |
| Inventory (\$, mm)    | 5,915    | 7,727     | 9,235     | 10,251    |
| DOI                   | 146.2    | 161.6     | 141.2     | 136.7     |

### INVESTMENT DRIVERS

- DRAM WFE outpaces overall WFE growth
- AMAT capitalizes on logic growth opportunities (GAA, back-side power)

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

|                     |                             |                     |                            |
|---------------------|-----------------------------|---------------------|----------------------------|
| <b>5/5<br/>BEST</b> | <b>24 Month<br/>Horizon</b> | <b>3/5<br/>MOST</b> | <b>3 Month<br/>Horizon</b> |
|---------------------|-----------------------------|---------------------|----------------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Market share gains as DRAM outpaces WFE
- AMAT captures market share in logic architecture inflections (backside power)

#### RISKS TO DOWNSIDE

- Widespread restrictions on equipment shipments and services to China
- AMAT loses market share with key customers (Samsung, TSMC)

### OWNERSHIP POSITIONING

|                                   |              |                                                                    |
|-----------------------------------|--------------|--------------------------------------------------------------------|
| <b>Inst. Owners, % Active</b>     | <b>50.7%</b> | <div><div></div><div></div><div></div><div></div><div></div></div> |
| <b>HF Sector Long/Short Ratio</b> | <b>2.1x</b>  | <div><div></div><div></div><div></div><div></div><div></div></div> |
| <b>HF Sector Net Exposure</b>     | <b>29.5%</b> | <div><div></div><div></div><div></div><div></div><div></div></div> |

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Oct 2027e

|                                 |        |                                                                    |        |        |
|---------------------------------|--------|--------------------------------------------------------------------|--------|--------|
| <b>Sales / Revenue (\$, mm)</b> | 36,458 | <div><div></div><div></div><div></div><div></div><div></div></div> | 48,246 | 51,589 |
|---------------------------------|--------|--------------------------------------------------------------------|--------|--------|

|                        |        |                                                                    |        |        |
|------------------------|--------|--------------------------------------------------------------------|--------|--------|
| <b>EBITDA (\$, mm)</b> | 11,201 | <div><div></div><div></div><div></div><div></div><div></div></div> | 18,008 | 20,608 |
|------------------------|--------|--------------------------------------------------------------------|--------|--------|

|                            |        |                                                                    |        |        |
|----------------------------|--------|--------------------------------------------------------------------|--------|--------|
| <b>Net income (\$, mm)</b> | 11,456 | <div><div></div><div></div><div></div><div></div><div></div></div> | 15,135 | 17,517 |
|----------------------------|--------|--------------------------------------------------------------------|--------|--------|

|                 |       |                                                                    |       |       |
|-----------------|-------|--------------------------------------------------------------------|-------|-------|
| <b>EPS (\$)</b> | 12.36 | <div><div></div><div></div><div></div><div></div><div></div></div> | 19.08 | 21.53 |
|-----------------|-------|--------------------------------------------------------------------|-------|-------|

◆ Mean ◆ Morgan Stanley Estimates  
Source: Refinitiv, Morgan Stanley Research

# Projected Financial Statements

**Exhibit 3:** AMAT: Projected Income Statement

| AMAT Inc. Income Statement<br>(\$ in millions; fiscal year ends in October) | 2025/1F<br>Jan-25<br>1Q25 | 2025/2F<br>Apr-25<br>2Q25 | 2025/3F<br>Jul-25<br>3Q25 | 2025/4F<br>Oct-25<br>4Q25 | 2026/1F<br>Jan-26<br>1Q26 | 2026/2F<br>Apr-26<br>2Q26 | 2026/3F<br>Jul-26<br>3Q26e | 2026/4F<br>Oct-26<br>4Q26e | 2027/1F<br>Jan-27<br>1Q27e | 2027/2F<br>Apr-27<br>2Q27e | 2027/3F<br>Jul-27<br>3Q27e | 2027/4F<br>Oct-27<br>4Q27e | 2024<br>CY2024A | 2025<br>CY2025A | 2026<br>CY2026E | 2027<br>CY2027E | 2028<br>CY2028E |
|-----------------------------------------------------------------------------|---------------------------|---------------------------|---------------------------|---------------------------|---------------------------|---------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|
| Revenues - GAAP                                                             | \$ 7,166.0                | \$ 7,100.0                | \$ 7,302.0                | \$ 6,800.0                | \$ 7,012.0                | \$ 7,910.0                | \$ 9,003.4                 | \$ 10,481.1                | \$ 11,231.2                | \$ 11,855.0                | \$ 12,375.2                | \$ 12,784.2                | \$ 27,635.0     | \$ 28,214.0     | \$ 38,625.8     | \$ 50,480.9     | \$ 57,198.4     |
| Q-o-Q change                                                                | 1.7%                      | -0.9%                     | 2.8%                      | -6.9%                     | 3.1%                      | 12.8%                     | 13.8%                      | 16.4%                      | 7.2%                       | 5.6%                       | 4.4%                       | 3.3%                       |                 |                 |                 |                 |                 |
| Y-o-Y change                                                                | 6.8%                      | 6.8%                      | 7.7%                      | -3.5%                     | -2.1%                     | 11.4%                     | 23.3%                      | 54.1%                      | 60.2%                      | 49.9%                      | 37.5%                      | 22.0%                      | 4.3%            | 2.1%            | 36.9%           | 30.7%           | 13.3%           |
| COGS - GAAP                                                                 | 3,670.0                   | 3,615.0                   | 3,740.0                   | 3,535.0                   | 3,577.0                   | 3,963.0                   | 4,483.7                    | 5,188.2                    | 5,514.5                    | 5,797.1                    | 6,026.7                    | 6,200.3                    | 14,446.0        | 14,467.0        | 19,149.4        | 24,528.5        | 27,512.4        |
| COGS - non GAAP                                                             | 3,663.0                   | 3,609.0                   | 3,733.0                   | 3,528.0                   | 3,570.0                   | 3,957.0                   | 4,477.7                    | 5,182.2                    | 5,508.5                    | 5,791.1                    | 6,020.7                    | 6,194.3                    | 14,417.0        | 14,440.0        | 19,125.4        | 24,504.5        | 27,488.4        |
| Gross Profit - GAAP                                                         | 3,496.0                   | 3,485.0                   | 3,562.0                   | 3,265.0                   | 3,435.0                   | 3,947.0                   | 4,519.7                    | 5,293.0                    | 5,716.7                    | 6,057.9                    | 6,348.5                    | 6,583.9                    | 13,189.0        | 13,747.0        | 19,476.4        | 25,952.4        | 29,686.0        |
| Gross Margin - GAAP                                                         | 48.8%                     | 49.1%                     | 48.8%                     | 48.0%                     | 49.0%                     | 49.9%                     | 50.2%                      | 50.5%                      | 50.9%                      | 51.1%                      | 51.3%                      | 51.5%                      | 47.7%           | 48.7%           | 50.4%           | 51.4%           | 51.9%           |
| Gross Profit - non GAAP                                                     | 3,503.0                   | 3,491.0                   | 3,569.0                   | 3,272.0                   | 3,442.0                   | 3,953.0                   | 4,525.7                    | 5,299.0                    | 5,722.7                    | 6,063.9                    | 6,354.5                    | 6,589.9                    | 13,218.0        | 13,774.0        | 19,500.4        | 25,976.4        | 29,710.0        |
| Gross Margin - non GAAP                                                     | 48.9%                     | 49.2%                     | 48.9%                     | 48.1%                     | 49.1%                     | 50.0%                     | 50.3%                      | 50.6%                      | 51.0%                      | 51.2%                      | 51.3%                      | 51.5%                      | 47.8%           | 48.8%           | 50.5%           | 51.5%           | 51.9%           |
| R&D - non GAAP                                                              | 859.0                     | 893.0                     | 901.0                     | 917.0                     | 928.0                     | 1,027.0                   | 1,078.9                    | 1,224.6                    | 1,289.7                    | 1,331.7                    | 1,377.8                    | 1,410.6                    | 3,338.0         | 3,639.0         | 4,620.2         | 5,592.5         | 6,196.1         |
| Percentage of Revenues                                                      | 12.0%                     | 12.6%                     | 12.3%                     | 13.5%                     | 13.2%                     | 13.0%                     | 12.0%                      | 11.7%                      | 11.5%                      | 11.2%                      | 11.1%                      | 11.0%                      | 12.1%           | 12.9%           | 12.0%           | 11.1%           | 10.8%           |
| Selling, General and Administrative - non GAAP                              | 462.0                     | 423.0                     | 428.0                     | 455.0                     | 411.0                     | 397.0                     | 415.9                      | 463.2                      | 496.3                      | 506.1                      | 503.5                      | 507.4                      | 1,776.0         | 1,717.0         | 1,772.3         | 2,051.5         | 2,198.7         |
| Percentage of Revenues                                                      | 6.4%                      | 6.0%                      | 5.9%                      | 6.7%                      | 5.9%                      | 5.0%                      | 4.6%                       | 4.4%                       | 4.4%                       | 4.3%                       | 4.1%                       | 4.0%                       | 6.4%            | 6.1%            | 4.6%            | 4.1%            | 3.8%            |
| Other OpEx - non GAAP                                                       | (8.0)                     | (5.0)                     | (5.0)                     | (47.0)                    | (4.0)                     | (7.0)                     | (7.0)                      | (7.0)                      | (7.0)                      | (7.0)                      | (7.0)                      | (7.0)                      | (29.0)          | (61.0)          | (28.0)          | (28.0)          | (28.0)          |
| Operating Expenses - GAAP                                                   | 1,321.0                   | 1,316.0                   | 1,329.0                   | 1,553.0                   | 1,604.0                   | 1,424.0                   | 1,494.8                    | 1,687.7                    | 1,786.1                    | 1,837.8                    | 1,881.3                    | 1,918.0                    | 5,114.0         | 5,802.0         | 6,392.6         | 7,644.0         | 8,394.8         |
| Operating Expenses - non GAAP                                               | 1,313.0                   | 1,311.0                   | 1,324.0                   | 1,325.0                   | 1,335.0                   | 1,417.0                   | 1,487.8                    | 1,680.7                    | 1,779.1                    | 1,830.8                    | 1,874.3                    | 1,911.0                    | 5,085.0         | 5,295.0         | 6,364.6         | 7,616.0         | 8,366.8         |
| Operating Income - GAAP                                                     | 2,175.0                   | 2,169.0                   | 2,233.0                   | 1,712.0                   | 1,831.0                   | 2,523.0                   | 3,024.9                    | 3,605.2                    | 3,930.6                    | 4,220.1                    | 4,467.1                    | 4,665.9                    | 8,075.0         | 7,945.0         | 13,083.8        | 18,308.5        | 21,291.2        |
| Operating Margin GAAP%                                                      | 30.4%                     | 30.5%                     | 30.6%                     | 25.2%                     | 26.1%                     | 31.9%                     | 33.6%                      | 34.4%                      | 35.0%                      | 35.6%                      | 36.1%                      | 36.5%                      | 29.2%           | 28.2%           | 33.9%           | 36.3%           | 37.2%           |
| Operating Income - non GAAP                                                 | 2,190.0                   | 2,180.0                   | 2,245.0                   | 1,947.0                   | 2,107.0                   | 2,536.0                   | 3,037.9                    | 3,618.2                    | 3,943.6                    | 4,233.1                    | 4,480.1                    | 4,678.9                    | 8,133.0         | 8,479.0         | 13,135.8        | 18,360.5        | 21,343.2        |
| Operating Margin non GAAP%                                                  | 30.6%                     | 30.7%                     | 30.7%                     | 28.6%                     | 30.0%                     | 32.1%                     | 33.7%                      | 34.5%                      | 35.1%                      | 35.7%                      | 36.2%                      | 36.6%                      | 29.4%           | 30.1%           | 34.0%           | 36.4%           | 37.3%           |
| Total Interest Income (net) and Other Income - non GAAP                     | 41.0                      | 34.0                      | 32.0                      | 33.0                      | 27.0                      | 32.0                      | (20.6)                     | 15.2                       | 20.0                       | 26.1                       | 32.9                       | 42.3                       | 251.0           | 126.0           | 46.6            | 155.5           | 428.2           |
| PBT - GAAP                                                                  | 2,119.0                   | 2,322.0                   | 2,563.0                   | 2,267.0                   | 2,328.0                   | 3,225.0                   | 3,036.3                    | 3,620.4                    | 3,950.7                    | 4,246.2                    | 4,500.0                    | 4,708.2                    | 7,968.0         | 9,480.0         | 13,832.4        | 18,464.0        | 21,719.4        |
| PBT - non GAAP                                                              | 2,231.0                   | 2,214.0                   | 2,277.0                   | 1,980.0                   | 2,134.0                   | 2,568.0                   | 3,017.3                    | 3,633.4                    | 3,963.7                    | 4,259.2                    | 4,513.0                    | 4,721.2                    | 8,384.0         | 8,605.0         | 13,182.4        | 18,516.0        | 21,771.4        |
| Income Tax Expense (Benefit) - non GAAP                                     | 285.0                     | 274.0                     | 288.0                     | 248.0                     | 235.0                     | 282.0                     | 331.3                      | 399.0                      | 527.2                      | 566.5                      | 600.2                      | 627.9                      | 1,010.0         | 1,045.0         | 1,539.5         | 2,472.7         | 2,939.1         |
| Effective tax rate non GAAP                                                 | 12.8%                     | 12.4%                     | 12.6%                     | 12.5%                     | 11.0%                     | 11.0%                     | 11.0%                      | 11.0%                      | 13.3%                      | 13.3%                      | 13.3%                      | 13.3%                      | 12.0%           | 12.1%           | 11.7%           | 13.4%           | 13.5%           |
| Net Income, Cont. Ops. - GAAP                                               | 1,185.0                   | 2,137.0                   | 1,779.0                   | 1,897.0                   | 2,026.0                   | 2,806.0                   | 2,705.0                    | 3,221.4                    | 3,423.5                    | 3,679.7                    | 3,899.8                    | 4,080.2                    | 6,343.0         | 7,839.0         | 12,155.9        | 15,991.3        | 18,780.2        |
| Net Income, Cont. Ops. - non GAAP                                           | 1,946.0                   | 1,940.0                   | 1,989.0                   | 1,732.0                   | 1,899.0                   | 2,286.0                   | 2,686.0                    | 3,234.4                    | 3,436.5                    | 3,692.7                    | 3,912.8                    | 4,093.2                    | 7,374.0         | 7,560.0         | 11,642.9        | 16,043.3        | 18,832.2        |
| EPS - GAAP                                                                  | \$ 1.45                   | \$ 2.63                   | \$ 2.22                   | \$ 2.38                   | \$ 2.54                   | \$ 3.51                   | \$ 3.39                    | \$ 4.04                    | \$ 4.30                    | \$ 4.63                    | \$ 4.92                    | \$ 5.16                    | \$ 7.65         | \$ 9.77         | \$ 15.24        | \$ 20.19        | \$ 23.87        |
| EPS - non GAAP                                                              | \$ 2.38                   | \$ 2.39                   | \$ 2.48                   | \$ 2.17                   | \$ 2.38                   | \$ 2.86                   | \$ 3.37                    | \$ 4.06                    | \$ 4.32                    | \$ 4.65                    | \$ 4.94                    | \$ 5.17                    | \$ 8.90         | \$ 9.42         | \$ 14.60        | \$ 20.26        | \$ 23.94        |
| EPS - MW                                                                    | \$ 2.39                   | \$ 2.38                   | \$ 2.47                   | \$ 2.17                   | \$ 2.07                   | \$ 2.85                   | \$ 3.37                    | \$ 4.06                    | \$ 4.32                    | \$ 4.65                    | \$ 4.94                    | \$ 5.17                    | \$ 8.88         | \$ 9.43         | \$ 14.59        | \$ 20.26        | \$ 23.94        |

Source: Company Data, Morgan Stanley Research

Exhibit 4: AMAT: Projected Balance Sheet

| AMAT Inc. Balance Sheet<br>(\$ in millions; fiscal year ends in October) | 2025/1F<br>Jan-25<br>1Q25 | 2025/2F<br>Apr-25<br>2Q25 | 2025/3F<br>Jul-25<br>3Q25 | 2025/4F<br>Oct-25<br>4Q25 | 2026/1F<br>Jan-26<br>1Q26 | 2026/2F<br>Apr-26<br>2Q26 | 2026/3F<br>Jul-26<br>3Q26e | 2026/4F<br>Oct-26<br>4Q26e | 2027/1F<br>Jan-27<br>1Q27e | 2027/2F<br>Apr-27<br>2Q27e | 2027/3F<br>Jul-27<br>3Q27e | 2027/4F<br>Oct-27<br>4Q27e | CY2024A         | CY2025A         | CY2026E         | CY2027E         | CY2028E         |
|--------------------------------------------------------------------------|---------------------------|---------------------------|---------------------------|---------------------------|---------------------------|---------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|
| <b>Assets</b>                                                            |                           |                           |                           |                           |                           |                           |                            |                            |                            |                            |                            |                            |                 |                 |                 |                 |                 |
| Cash and cash equivalents                                                | 6,264.0                   | 6,169.0                   | 5,384.0                   | 7,241.0                   | 7,218.0                   | 6,301.0                   | 6,679.4                    | 7,167.6                    | 7,774.8                    | 7,492.1                    | 8,430.8                    | 9,631.7                    | 6,264.0         | 7,218.0         | 7,774.8         | 11,642.9        | 21,012.5        |
| Short-term investments                                                   | 1,949.0                   | 578.0                     | 1,630.0                   | 1,332.0                   | 1,293.0                   | 1,940.0                   | 1,940.0                    | 1,940.0                    | 1,940.0                    | 1,940.0                    | 1,940.0                    | 1,940.0                    | 1,949.0         | 1,293.0         | 1,940.0         | 1,940.0         | 1,940.0         |
| Accounts receivables, net                                                | 5,998.0                   | 6,187.0                   | 5,772.0                   | 5,185.0                   | 4,977.0                   | 6,372.0                   | 7,252.8                    | 8,443.2                    | 9,047.5                    | 9,550.0                    | 9,969.0                    | 10,298.5                   | 5,998.0         | 4,977.0         | 9,047.5         | 10,848.1        | 11,770.9        |
| Inventory                                                                | 5,501.0                   | 5,656.0                   | 5,807.0                   | 5,915.0                   | 5,997.0                   | 6,343.0                   | 6,927.3                    | 7,727.5                    | 8,213.6                    | 8,634.5                    | 8,976.5                    | 9,235.0                    | 5,501.0         | 5,997.0         | 8,213.6         | 9,687.8         | 10,468.4        |
| Deferred income taxes                                                    | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          | -               | -               | -               | -               | -               |
| Other current assets                                                     | 982.0                     | 1,118.0                   | 1,125.0                   | 1,208.0                   | 1,564.0                   | 1,615.0                   | 1,615.0                    | 1,615.0                    | 1,615.0                    | 1,615.0                    | 1,615.0                    | 1,615.0                    | 982.0           | 1,564.0         | 1,615.0         | 1,615.0         | 1,615.0         |
| <b>Total Current Assets</b>                                              | <b>20,694.0</b>           | <b>19,708.0</b>           | <b>19,718.0</b>           | <b>20,881.0</b>           | <b>21,049.0</b>           | <b>22,571.0</b>           | <b>24,414.6</b>            | <b>26,893.3</b>            | <b>28,590.9</b>            | <b>29,231.5</b>            | <b>30,931.3</b>            | <b>32,720.2</b>            | <b>20,694.0</b> | <b>21,049.0</b> | <b>28,590.9</b> | <b>35,733.7</b> | <b>46,806.8</b> |
| Property and equipment, net                                              | 3,563.0                   | 3,832.0                   | 4,124.0                   | 4,610.0                   | 4,949.0                   | 5,255.0                   | 5,949.5                    | 6,768.1                    | 7,505.7                    | 8,280.1                    | 9,082.5                    | 9,903.4                    | 3,563.0         | 4,949.0         | 7,505.7         | 10,360.0        | 12,252.9        |
| Restricted cash                                                          | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          | -               | -               | -               | -               | -               |
| Long-term investments                                                    | 2,686.0                   | 3,638.0                   | 4,133.0                   | 4,327.0                   | 4,968.0                   | 5,142.0                   | 5,142.0                    | 5,142.0                    | 5,142.0                    | 5,142.0                    | 5,142.0                    | 5,142.0                    | 2,686.0         | 4,968.0         | 5,142.0         | 5,142.0         | 5,142.0         |
| Deferred income taxes                                                    | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          | -               | -               | -               | -               | -               |
| Goodwill                                                                 | 3,768.0                   | 3,748.0                   | 3,748.0                   | 3,707.0                   | 3,707.0                   | 3,824.0                   | 3,824.0                    | 3,824.0                    | 3,824.0                    | 3,824.0                    | 3,824.0                    | 3,824.0                    | 3,768.0         | 3,707.0         | 3,824.0         | 3,824.0         | 3,824.0         |
| Intangible assets, net                                                   | 237.0                     | 249.0                     | 238.0                     | 226.0                     | 215.0                     | 330.0                     | 330.0                      | 330.0                      | 330.0                      | 330.0                      | 330.0                      | 330.0                      | 237.0           | 215.0           | 330.0           | 330.0           | 330.0           |
| Other non-current assets                                                 | 2,390.0                   | 2,457.0                   | 2,250.0                   | 2,548.0                   | 2,756.0                   | 3,164.0                   | 3,164.0                    | 3,164.0                    | 3,164.0                    | 3,164.0                    | 3,164.0                    | 3,164.0                    | 2,390.0         | 2,756.0         | 3,164.0         | 3,164.0         | 3,164.0         |
| <b>Total Assets</b>                                                      | <b>33,338.0</b>           | <b>33,632.0</b>           | <b>34,211.0</b>           | <b>36,299.0</b>           | <b>37,644.0</b>           | <b>40,286.0</b>           | <b>42,824.0</b>            | <b>46,121.3</b>            | <b>48,556.5</b>            | <b>49,971.7</b>            | <b>52,473.9</b>            | <b>55,083.6</b>            | <b>33,338.0</b> | <b>37,644.0</b> | <b>48,556.5</b> | <b>58,553.7</b> | <b>71,519.7</b> |
| <b>Liabilities &amp; Shareholders' Equity</b>                            |                           |                           |                           |                           |                           |                           |                            |                            |                            |                            |                            |                            |                 |                 |                 |                 |                 |
| Accounts payable, Notes Payable and Accrued Exp                          | 4,485.0                   | 4,706.0                   | 4,614.0                   | 5,333.0                   | 5,181.0                   | 5,229.0                   | 5,916.0                    | 6,845.5                    | 7,276.2                    | 7,649.0                    | 7,952.0                    | 8,181.1                    | 4,485.0         | 5,181.0         | 7,276.2         | 8,582.1         | 9,273.6         |
| Deferred profit                                                          | 2,452.0                   | 2,491.0                   | 2,470.0                   | 2,566.0                   | 2,472.0                   | 2,570.0                   | 2,570.0                    | 2,570.0                    | 2,570.0                    | 2,570.0                    | 2,570.0                    | 2,570.0                    | 2,452.0         | 2,472.0         | 2,570.0         | 2,570.0         | 2,570.0         |
| Income taxes payable                                                     | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          | -               | -               | -               | -               | -               |
| Other liabilities                                                        | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          | -               | -               | -               | -               | -               |
| Current portion of long-term debt                                        | 799.0                     | 799.0                     | 799.0                     | 100.0                     | 100.0                     | 1,199.0                   | 1,199.0                    | 1,199.0                    | 1,199.0                    | -                          | -                          | -                          | 799.0           | 100.0           | 1,199.0         | -               | -               |
| <b>Total Current Liabilities</b>                                         | <b>7,736.0</b>            | <b>7,996.0</b>            | <b>7,883.0</b>            | <b>7,999.0</b>            | <b>7,753.0</b>            | <b>8,998.0</b>            | <b>9,685.0</b>             | <b>10,614.5</b>            | <b>11,045.2</b>            | <b>10,219.0</b>            | <b>10,522.0</b>            | <b>10,751.1</b>            | <b>7,736.0</b>  | <b>7,753.0</b>  | <b>11,045.2</b> | <b>11,152.1</b> | <b>11,843.6</b> |
| Long-term debt                                                           | 5,461.0                   | 5,462.0                   | 5,463.0                   | 6,455.0                   | 6,453.0                   | 5,256.0                   | 5,256.0                    | 5,256.0                    | 5,256.0                    | 5,256.0                    | 5,256.0                    | 5,256.0                    | 5,461.0         | 6,453.0         | 5,256.0         | 5,256.0         | 5,256.0         |
| Deferred profit, non-current                                             | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          | -               | -               | -               | -               | -               |
| Income taxes payable                                                     | 684.0                     | 321.0                     | 330.0                     | 356.0                     | 507.0                     | 704.0                     | 704.0                      | 704.0                      | 704.0                      | 704.0                      | 704.0                      | 704.0                      | 684.0           | 507.0           | 704.0           | 704.0           | 704.0           |
| Other long-term liabilities                                              | 832.0                     | 892.0                     | 1,031.0                   | 1,074.0                   | 1,214.0                   | 1,419.0                   | 1,419.0                    | 1,419.0                    | 1,419.0                    | 1,419.0                    | 1,419.0                    | 1,419.0                    | 832.0           | 1,214.0         | 1,419.0         | 1,419.0         | 1,419.0         |
| Minority interest                                                        | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          | -               | -               | -               | -               | -               |
| <b>Shareholders' Equity</b>                                              | <b>18,625.0</b>           | <b>18,961.0</b>           | <b>19,504.0</b>           | <b>20,415.0</b>           | <b>21,717.0</b>           | <b>23,909.0</b>           | <b>25,760.0</b>            | <b>28,127.8</b>            | <b>30,132.4</b>            | <b>32,373.6</b>            | <b>34,572.9</b>            | <b>36,953.5</b>            | <b>18,625.0</b> | <b>21,717.0</b> | <b>30,132.4</b> | <b>40,022.6</b> | <b>52,297.1</b> |
| <b>Total Liabilities &amp; Equity</b>                                    | <b>33,338.0</b>           | <b>33,632.0</b>           | <b>34,211.0</b>           | <b>36,299.0</b>           | <b>37,644.0</b>           | <b>40,286.0</b>           | <b>42,824.0</b>            | <b>46,121.3</b>            | <b>48,556.5</b>            | <b>49,971.7</b>            | <b>52,473.9</b>            | <b>55,083.6</b>            | <b>33,338.0</b> | <b>37,644.0</b> | <b>48,556.5</b> | <b>58,553.7</b> | <b>71,519.7</b> |

Source: Company Data, Morgan Stanley Research

Exhibit 5: AMAT: Projected Cash Flow Statement

| AMAT Inc. Statement of Cash Flows (Non Cumulative)<br>(\$ in millions; fiscal year ends in October) | 2025/1F<br>Jan-25<br>1Q25 | 2025/2F<br>Apr-25<br>2Q25 | 2025/3F<br>Jul-25<br>3Q25 | 2025/4F<br>Oct-25<br>4Q25 | 2026/1F<br>Jan-26<br>1Q26 | 2026/2F<br>Apr-26<br>2Q26 | 2026/3F<br>Jul-26<br>3Q26e | 2026/4F<br>Oct-26<br>4Q26e | 2027/1F<br>Jan-27<br>1Q27e | 2027/2F<br>Apr-27<br>2Q27e | 2027/3F<br>Jul-27<br>3Q27e | 2027/4F<br>Oct-27<br>4Q27e |
|-----------------------------------------------------------------------------------------------------|---------------------------|---------------------------|---------------------------|---------------------------|---------------------------|---------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|
| <b>Cash flows provided by (used for) operating activities:</b>                                      |                           |                           |                           |                           |                           |                           |                            |                            |                            |                            |                            |                            |
| Net income                                                                                          | \$ 1,185.0                | \$ 2,137.0                | \$ 1,779.0                | \$ 1,897.0                | \$ 2,026.0                | \$ 2,806.0                | \$ 2,705.0                 | \$ 3,221.4                 | \$ 3,423.5                 | \$ 3,679.7                 | \$ 3,899.8                 | \$ 4,080.2                 |
| Adjustments to reconcile net income to net cash                                                     |                           |                           |                           |                           |                           |                           |                            |                            |                            |                            |                            |                            |
| Depreciation and amortization                                                                       | 105.0                     | 103.0                     | 113.0                     | 114.0                     | 127.0                     | 135.0                     | 135.0                      | 147.0                      | 160.9                      | 173.9                      | 187.6                      | 201.9                      |
| Stock-based compensation                                                                            | 195.0                     | 159.0                     | 158.0                     | 156.0                     | 207.0                     | 169.0                     | 169.0                      | 169.0                      | 202.8                      | 182.5                      | 182.5                      | 182.5                      |
| Tax effect from stock-based compensation                                                            | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          |
| Loss (gain) on equity investments, net                                                              | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          |
| Restructuring charges and asset impairments                                                         | -                         | -                         | -                         | 179.0                     | 12.0                      | -                         | -                          | -                          | -                          | -                          | -                          | -                          |
| Gain/Loss on disposal of property, plant and equipment                                              | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          |
| Deferred income taxes                                                                               | 668.0                     | 4.0                       | 280.0                     | (313.0)                   | (78.0)                    | 152.0                     | -                          | -                          | -                          | -                          | -                          | -                          |
| Other non-cash items                                                                                | 95.0                      | (109.0)                   | (284.0)                   | (463.0)                   | (214.0)                   | (920.0)                   | -                          | -                          | -                          | -                          | -                          | -                          |
| Changes in current assets and liabilities:                                                          |                           |                           |                           |                           |                           |                           |                            |                            |                            |                            |                            |                            |
| Accounts receivable                                                                                 | (764.0)                   | (189.0)                   | 415.0                     | 587.0                     | 208.0                     | (1,396.0)                 | (880.8)                    | (1,190.4)                  | (604.3)                    | (502.5)                    | (419.0)                    | (329.4)                    |
| Inventory                                                                                           | (80.0)                    | (155.0)                   | (151.0)                   | (108.0)                   | (82.0)                    | (319.0)                   | (584.3)                    | (800.1)                    | (486.1)                    | (420.9)                    | (342.0)                    | (258.6)                    |
| Income taxes receivable                                                                             | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          |
| Other current assets                                                                                | 115.0                     | (145.0)                   | (6.0)                     | (83.0)                    | (154.0)                   | (240.0)                   | -                          | -                          | -                          | -                          | -                          | -                          |
| Accounts payable                                                                                    | (429.0)                   | 337.0                     | 227.0                     | 172.0                     | (760.0)                   | 539.0                     | 687.0                      | 929.5                      | 430.6                      | 372.8                      | 303.0                      | 229.0                      |
| Income taxes payable                                                                                | 200.0                     | (573.0)                   | 76.0                      | 547.0                     | 481.0                     | (156.0)                   | -                          | -                          | -                          | -                          | -                          | -                          |
| Deferred revenues                                                                                   | (397.0)                   | 39.0                      | (21.0)                    | 96.0                      | (94.0)                    | 91.0                      | -                          | -                          | -                          | -                          | -                          | -                          |
| Other changes in assets and liabilities                                                             | 32.0                      | (37.0)                    | 48.0                      | 47.0                      | 7.0                       | (16.0)                    | -                          | -                          | -                          | -                          | -                          | -                          |
| <b>Net cash provided by operating activities</b>                                                    | <b>925.0</b>              | <b>1,571.0</b>            | <b>2,634.0</b>            | <b>2,828.0</b>            | <b>1,686.0</b>            | <b>845.0</b>              | <b>2,230.9</b>             | <b>2,476.4</b>             | <b>3,127.5</b>             | <b>3,485.6</b>             | <b>3,811.8</b>             | <b>4,105.7</b>             |
| <b>Cash flows from investing activities:</b>                                                        |                           |                           |                           |                           |                           |                           |                            |                            |                            |                            |                            |                            |
| Capital expenditures, net                                                                           | (381.0)                   | (510.0)                   | (584.0)                   | (785.0)                   | (646.0)                   | (635.0)                   | (829.5)                    | (965.6)                    | (898.5)                    | (948.4)                    | (990.0)                    | (1,022.7)                  |
| Restricted cash                                                                                     | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          |
| Purchase of available-for-sale securities                                                           | (1,711.0)                 | (1,222.0)                 | (2,176.0)                 | (945.0)                   | (1,277.0)                 | (2,246.0)                 | -                          | -                          | -                          | -                          | -                          | -                          |
| Sales and maturities of available-for-sale securities                                               | 1,223.0                   | 1,921.0                   | 793.0                     | 1,591.0                   | 1,143.0                   | 2,091.0                   | -                          | -                          | -                          | -                          | -                          | -                          |
| Purchase of long-term investments                                                                   | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          |
| Purchase of intangible assets                                                                       | -                         | -                         | -                         | -                         | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          |
| Proceeds from sale of business, net                                                                 | -                         | 33.0                      | -                         | -                         | -                         | 6.0                       | -                          | -                          | -                          | -                          | -                          | -                          |
| Other investing activities                                                                          | (28.0)                    | (1.0)                     | -                         | -                         | -                         | (175.0)                   | -                          | -                          | -                          | -                          | -                          | -                          |
| <b>Net cash used for investing activities</b>                                                       | <b>(897.0)</b>            | <b>221.0</b>              | <b>(1,967.0)</b>          | <b>(139.0)</b>            | <b>(780.0)</b>            | <b>(959.0)</b>            | <b>(829.5)</b>             | <b>(965.6)</b>             | <b>(898.5)</b>             | <b>(948.4)</b>             | <b>(990.0)</b>             | <b>(1,022.7)</b>           |
| <b>Cash flows from financing activities:</b>                                                        |                           |                           |                           |                           |                           |                           |                            |                            |                            |                            |                            |                            |
| Proceeds from (payments of) long-term debt                                                          | -                         | -                         | -                         | 291.0                     | -                         | -                         | -                          | -                          | -                          | -                          | -                          | -                          |
| Proceeds from common stock issuances                                                                | -                         | 129.0                     | -                         | 132.0                     | -                         | 131.0                     | -                          | -                          | -                          | -                          | -                          | -                          |
| Proceeds from (payments of) short-term debt                                                         | -                         | -                         | -                         | 1.0                       | -                         | (100.0)                   | -                          | -                          | -                          | (1,199.0)                  | -                          | -                          |
| Payment of dividends to stockholders                                                                | (326.0)                   | (325.0)                   | (368.0)                   | (365.0)                   | (365.0)                   | (365.0)                   | (423.0)                    | (422.6)                    | (421.8)                    | (421.0)                    | (483.1)                    | (482.1)                    |
| Treasury stock repurchases                                                                          | (1,318.0)                 | (1,670.0)                 | (1,056.0)                 | (851.0)                   | (337.0)                   | (400.0)                   | (600.0)                    | (600.0)                    | (1,200.0)                  | (1,200.0)                  | (1,400.0)                  | (1,400.0)                  |
| Other financing activities                                                                          | (142.0)                   | (37.0)                    | (33.0)                    | (39.0)                    | (229.0)                   | (80.0)                    | -                          | -                          | -                          | -                          | -                          | -                          |
| <b>Net cash used for financing activities</b>                                                       | <b>(1,786.0)</b>          | <b>(1,903.0)</b>          | <b>(1,457.0)</b>          | <b>(831.0)</b>            | <b>(931.0)</b>            | <b>(814.0)</b>            | <b>(1,023.0)</b>           | <b>(1,022.6)</b>           | <b>(1,621.8)</b>           | <b>(2,820.0)</b>           | <b>(1,883.1)</b>           | <b>(1,882.1)</b>           |
| <b>Effect of exchange rate changes on cash and cash equivalents</b>                                 | <b>-</b>                  | <b>-</b>                  | <b>-</b>                  | <b>-</b>                  | <b>-</b>                  | <b>-</b>                  | <b>-</b>                   | <b>-</b>                   | <b>-</b>                   | <b>-</b>                   | <b>-</b>                   | <b>-</b>                   |
| <b>Cash and cash equivalents, beginning of period</b>                                               | <b>8,022.0</b>            | <b>6,264.0</b>            | <b>6,169.0</b>            | <b>5,384.0</b>            | <b>7,241.0</b>            | <b>7,218.0</b>            | <b>6,301.0</b>             | <b>6,679.4</b>             | <b>7,167.6</b>             | <b>7,774.8</b>             | <b>7,492.1</b>             | <b>8,430.8</b>             |
| Change in cash flow due to restatement                                                              | -                         | 16.0                      | 5.0                       | (1.0)                     | 2.0                       | 11.0                      | -                          | -                          | -                          | -                          | -                          | -                          |
| <b>Net increase (decrease) in cash and cash equivalents</b>                                         | <b>(1,758.0)</b>          | <b>(111.0)</b>            | <b>(790.0)</b>            | <b>1,858.0</b>            | <b>(25.0)</b>             | <b>(928.0)</b>            | <b>378.4</b>               | <b>488.2</b>               | <b>607.3</b>               | <b>(282.8)</b>             | <b>938.7</b>               | <b>1,200.9</b>             |
| <b>Cash and cash equivalents, end of period</b>                                                     | <b>6,264.0</b>            | <b>6,169.0</b>            | <b>5,384.0</b>            | <b>7,241.0</b>            | <b>7,218.0</b>            | <b>6,301.0</b>            | <b>6,679.4</b>             | <b>7,167.6</b>             | <b>7,774.8</b>             | <b>7,492.1</b>             | <b>8,430.8</b>             | <b>9,631.7</b>             |

| CY2024A          | CY2025A          | CY2026E          | CY2027E          | CY2028E          |
|------------------|------------------|------------------|------------------|------------------|
| \$ 6,343.0       | \$ 7,839.0       | \$ 12,155.9      | \$ 15,991.3      | \$ 18,780.2      |
| 406.0            | 457.0            | 577.9            | 780.1            | 967.0            |
| 602.0            | 680.0            | 709.8            | 766.6            | 827.9            |
| -                | -                | -                | -                | -                |
| -                | -                | -                | -                | -                |
| -                | 191.0            | -                | -                | -                |
| -                | -                | -                | -                | -                |
| 107.0            | (107.0)          | 152.0            | -                | -                |
| 377.0            | (1,070.0)        | (920.0)          | -                | -                |
| -                | -                | -                | -                | -                |
| (1,298.0)        | 1,021.0          | (4,071.5)        | (1,800.6)        | (922.8)          |
| 145.0            | (496.0)          | (2,189.6)        | (1,474.2)        | (780.6)          |
| -                | -                | -                | -                | -                |
| 364.0            | (388.0)          | (240.0)          | -                | -                |
| 391.0            | (24.0)           | 2,586.2          | 1,305.9          | 691.5            |
| 461.0            | 531.0            | (156.0)          | -                | -                |
| (695.0)          | 20.0             | 91.0             | -                | -                |
| 74.0             | 65.0             | (16.0)           | -                | -                |
| <b>7,277.0</b>   | <b>8,719.0</b>   | <b>8,679.7</b>   | <b>15,569.2</b>  | <b>19,563.2</b>  |
| (1,342.0)        | (2,525.0)        | (3,328.6)        | (3,634.5)        | (2,859.9)        |
| -                | -                | -                | -                | -                |
| (4,550.0)        | (5,620.0)        | (2,246.0)        | -                | -                |
| 3,143.0          | 5,448.0          | 2,091.0          | -                | -                |
| -                | -                | -                | -                | -                |
| -                | -                | -                | -                | -                |
| -                | 33.0             | 6.0              | -                | -                |
| (28.0)           | (1.0)            | (175.0)          | -                | -                |
| <b>(2,777.0)</b> | <b>(2,665.0)</b> | <b>(3,652.6)</b> | <b>(3,634.5)</b> | <b>(2,859.9)</b> |
| -                | 291.0            | -                | -                | -                |
| 243.0            | 261.0            | 131.0            | -                | -                |
| 1.0              | 1.0              | (100.0)          | (1,199.0)        | -                |
| (1,252.0)        | (1,423.0)        | (1,632.3)        | (1,867.6)        | (2,133.7)        |
| (4,441.0)        | (3,914.0)        | (2,800.0)        | (5,000.0)        | (5,200.0)        |
| 350.0            | (338.0)          | (80.0)           | -                | -                |
| <b>(5,099.0)</b> | <b>(5,122.0)</b> | <b>(4,481.3)</b> | <b>(8,066.6)</b> | <b>(7,333.7)</b> |
| -                | -                | -                | -                | -                |
| <b>6,854.0</b>   | <b>6,264.0</b>   | <b>7,218.0</b>   | <b>7,774.8</b>   | <b>11,642.9</b>  |
| <b>9.0</b>       | <b>22.0</b>      | <b>11.0</b>      | <b>-</b>         | <b>-</b>         |
| <b>(599.0)</b>   | <b>932.0</b>     | <b>545.8</b>     | <b>3,868.0</b>   | <b>9,369.6</b>   |
| <b>6,264.0</b>   | <b>7,218.0</b>   | <b>7,774.8</b>   | <b>11,642.9</b>  | <b>21,012.5</b>  |

Source: Company Data, Morgan Stanley Research



## Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options\\_Probabilities\\_Exhibit\\_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR\\_Themes\\_Exhibit\\_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG\\_Exhibit\\_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG\\_Sustainable\\_Solutions\\_External\\_Link.pdf](#)
5. View explanation of HERS methodology - [ESG\\_HERS\\_External\\_Link.pdf](#)

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| Stock Rating<br>Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                         | Other Material Investment Services<br>Clients (MISC) |                          |
|--------------------------|-------------------|------------|----------------------------------|----------------|-------------------------|------------------------------------------------------|--------------------------|
|                          | Count             | % of Total | Count                            | % of Total IBC | % of Rating<br>Category | Count                                                | % of Total Other<br>MISC |
| Overweight/Buy           | 1529              | 42%        | 442                              | 47%            | 29%                     | 750                                                  | 43%                      |
| Equal-weight/Hold        | 1582              | 43%        | 396                              | 42%            | 25%                     | 773                                                  | 44%                      |
| Not-Rated/Hold           | 3                 | 0%         | 1                                | 0%             | 33%                     | 1                                                    | 0%                       |
| Underweight/Sell         | 560               | 15%        | 97                               | 10%            | 17%                     | 217                                                  | 12%                      |
| Total                    | 3,674             |            | 936                              |                |                         | 1741                                                 |                          |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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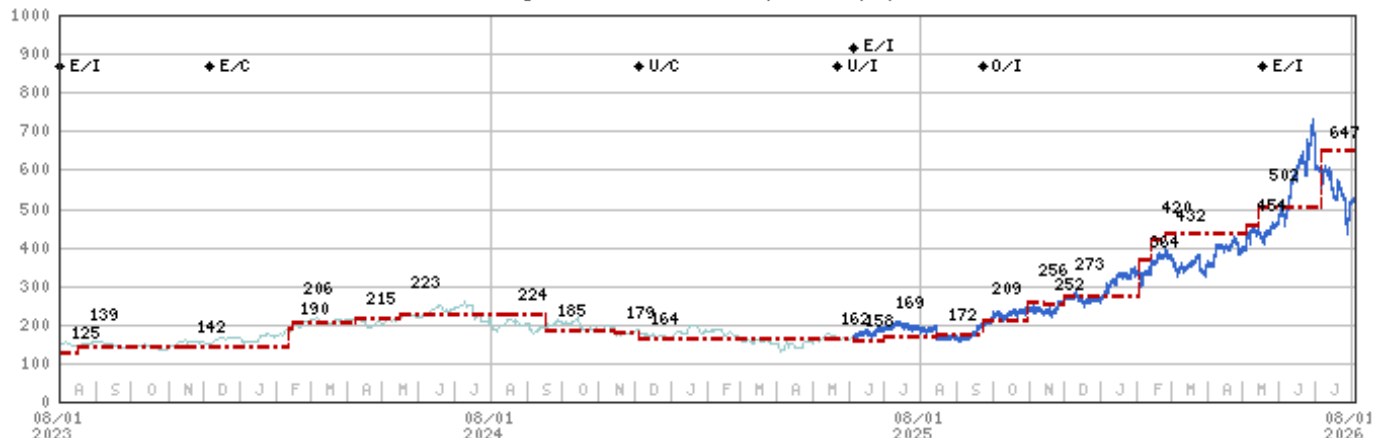
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## Stock Price, Price Target and Rating History (See Rating Definitions)

Applied Materials Inc. (AMAT.O) - As of 08/04/26 GMT in USD  
Industry : Semiconductor Capital Equipment



Stock Rating History: 8/1/21 : E/I; 12/7/23 : E/C; 12/5/24 : U/C; 5/22/25 : U/I; 6/5/25 : E/I; 9/22/25 : O/I; 5/18/26 : E/I

Price Target History: 5/21/21 : 139; 8/20/21 : 150; 12/14/21 : 160; 5/19/22 : 133; 7/24/22 : 115; 9/6/22 : 109; 10/13/22 : 99; 10/17/22 : 89; 11/18/22 : 88; 2/16/23 : 125; 8/17/23 : 139; 11/16/23 : 142; 2/12/24 : 190; 2/15/24 : 206; 4/8/24 : 215; 5/16/24 : 223; 8/15/24 : 224; 9/16/24 : 185; 11/14/24 : 179; 12/5/24 : 164; 5/15/25 : 162; 6/5/25 : 158; 7/1/25 : 169; 8/14/25 : 172; 9/22/25 : 209; 10/31/25 : 256; 11/13/25 : 252; 12/1/25 : 273; 2/2/26 : 364; 2/12/26 : 420; 2/24/26 : 432; 5/4/26 : 454; 5/14/26 : 502; 7/6/26 : 647

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View  
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
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## INDUSTRY COVERAGE: Semiconductor Capital Equipment

| COMPANY (TICKER)                         | RATING (AS OF) | PRICE* (08/04/2026) |
|------------------------------------------|----------------|---------------------|
| <b>Shane Brett</b>                       |                |                     |
| Advanced Energy Industries Inc. (AEIS.O) | O (07/22/2026) | \$341.39            |
| Applied Materials Inc. (AMAT.O)          | E (05/18/2026) | \$546.62            |
| Camtek (CAMT.O)                          | E (12/01/2025) | \$151.62            |
| KLA Corp (KLAC.O)                        | O (01/15/2026) | \$195.45            |
| Lam Research Corp (LRCX.O)               | O (05/18/2026) | \$317.74            |
| MKS Inc. (MKSJ.O)                        | O (08/04/2024) | \$320.76            |
| Nova Ltd (NVMI.O)                        | E (12/01/2025) | \$413.50            |
| ONTO Innovation Inc (ONTO.N)             | O (06/14/2026) | \$287.60            |
| Teradyne Inc (TER.O)                     | E (07/30/2025) | \$403.56            |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.